

Recommendation: Buy

Price Target: \$104.18

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TENNANT
COMPANY

NYSE: TNC

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Investment Thesis:



Tennant Company (TNC) is well positioned for continued growth, given its investments in R&D, strategic acquisition, and minority interest in a robotics company (Brian Corp. – a privately held company in San Diego). These investments have enabled TNC to differentiate its product portfolio (AMRs) from its competitors and provide significant pricing leverage as the company drives through a continued movement of organic growth and margin expansion. Based on the aforementioned thesis, the **fair value of TNC should be \$104.18**, implying a price difference of 20.5% from the current market price of \$86.42 (as of 02/08/2024).

Financial Analysis:

TNC navigated significant supply chain disruptions from FY 2020 to 2022, which affected sales but kept operating margins relatively steady. In response to these disruptions, TNC revamped its manufacturing processes, creating a “platform design” for equipment manufacturing that improved gross margins by 390BPS in FY 2023. The company maintained consistent R&D and SG&A expenses while innovating new AMRs, and strong demand for TNC products persisted. TNC is also focused on reducing product backlogs caused by supply chain disruptions, which are expected to reach minimal levels by the end of 2024. Furthermore, at the start of FY2024, TNC announced an ERP upgrade plan to help drive long-term operating efficiency, but this upgrade will create short-term margin headwinds.

TNC boasts a healthy balance sheet, with debt and cash comprising 13% and 6% of the capital structure as of FY 2023, respectively, and a **Net Debt/EBITDA ratio of 0.71x**. This is in stark contrast to 2019, when debt accounted for 22% of capital structure. Management reduced leverage to strengthen financial flexibility for potential strategic acquisitions and return cash to shareholders through dividends and share buybacks.

As a result of these efforts, innovation in AMRs, and potent product demand, TNC's EBIT margins have improved by 500 bps since 2019. Its IC Turns reached a level of 1.71; its **ROIC for FY2023 was 17.9%**, an improvement of 9.1% since 2020.

